CASCADIA ANALYTICS

Astera Labs, Inc.

Equity Research Note | ALAB | 21 OCTOBER 2026

AI Connectivity Ramping Hard

Astera Labs screens as a Hold, Valuation Concerns with a $139.11 blended target, 51% below the current price.

Analyst: Justin Wen

REFERENCE PRICE	BLENDED TARGET	BLENDED UPSIDE	
$284.80	$139.11	-51%	HOLD, VALUATION CONCERNS

Investment Thesis

AI Connectivity Ramping Hard. Q2 revenue of $392.4M grew 104.5% YoY, and Q3 guidance of $540-560M is 34% above consensus. PCIe 6 and CXL retimers are shipping into hyperscaler AI racks [8-K guid]. Business Quality Is Real. Fabless model, ~75% gross margins, zero debt, 39% net margins in Q2. The moat is protocol IP and qualification cycles, not silicon scale [10-Q Q2 FY26]. Valuation Is the Problem. DCF base of $137.31 sits 52% below the $284.80 spot; the reverse DCF says the market prices a 78% 5-year CAGR, above

- AI Connectivity Ramping Hard
- Business Quality Is Real
- Valuation Is the Problem

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The latest print

Business Quality Is Real. Fabless model, ~75% gross margins, zero debt, 39% net margins in Q2. The moat is protocol IP and qualification cycles, not silicon scale.

Valuation Is the Problem. DCF base of $137.31 sits 52% below the $284.80 spot; the reverse DCF says the market prices a 78% 5-year CAGR, above our bull case. Great company, wrong price.

$392.4M	$540-560M	$0.80	39.0%	73.3%	$1.89B
REVENUE (Q2 FY26)	Q3 FY26 REVENUE GUIDE	EPS (Q2 FY26)	NET MARGIN (Q2 FY26)	GROSS MARGIN (Q2 FY26)	FY2026 CONSENSUS REVENUE

Key metrics in detail

METRIC	LATEST	VS YEAR AGO	TREND
Revenue (Q2 FY26)	$392.4M	+104.5%	Up
Q3 FY26 Revenue Guide	$540-560M	+139% YoY	Up
EPS (Q2 FY26)	$0.80	+82% YoY	Up
Net Margin (Q2 FY26)	39.0%	+12.3 pts	Up
Gross Margin (Q2 FY26)	73.3%	-2.5 pts	Flat
FY2026 Consensus Revenue	$1.89B	+122%	Up
Cash & Debt (FY25)	$167.6M cash, ~$0 debt	Debt-free	Up

The moat

Q3 revenue guide $540-560M, up ~139% YoY and 34% above consensus

The growth engine

PCIe 6 / CXL retimers and Aries 7 design wins ramping at hyperscalers

Three scenarios make the valuation range explicit

Three scenarios, weighted 25% / 50% / 25% into the blended target.

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SCENARIO	WEIGHT	2026-30 CAGR	2030 REVENUE	2030 EBIT MARGIN	TARGET	UPSIDE
Bear	25%	30.9%	$4.61B	38.6%	**$85.64**	-70%
Base	50%	51.4%	$9.56B	43.3%	**$137.31**	-52%
Bull	25%	63.6%	$14.06B	45.7%	**$196.18**	-31%

Bear: downside case at $85.64 (-70%).

Base: central case at $137.31 (-52%).

Bull: upside case at $196.18 (-31%).

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The probability-blended target implies 51% downside

A 25% Bear / 50% Base / 25% Bull weighting implies -51% from the $284.80 reference price.

$139.11
BLENDED TARGET

The valuation uses a multi-year unlevered free cash flow DCF. The discount rate is the live CAPM rate: the 10-year Treasury yield plus beta times the market-implied equity risk premium. Terminal value is a Gordon perpetuity on terminal-year free cash flow.

Mechanics are explicit. The bridge runs revenue to EBIT to cash taxes, then adds back D&A and subtracts capex and working-capital investment to reach unlevered free cash flow. Targets are divided by diluted shares outstanding.

Revenue base (2025E)	**$1.20B**
Valuation horizon	**2026-2030**
Live WACC	**10.24%**
Terminal growth	**3.0%**
Net cash	**$1.25B**
2030 FCF (Base)	**$1.86B**
10-year Treasury yield	**5.1%**
Beta	**1.50**
Equity risk premium	**3.4%**

HOLD, VALUATION CONCERNS | $139.11 BLENDED TARGET | WEN

The reverse DCF: what the market prices in

Holding the base-case FCF margin flat, the market-implied revenue CAGR is 77.9%. at/above Bull (50%) — euphoric

Reverse DCF sensitivity

Implied enterprise value and share price at each five-year revenue CAGR, with the base-case free cash flow margin held flat. The highlighted row sits nearest the market-implied CAGR.

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CAGR	Implied EV	Implied price	CAGR	Implied EV	Implied price	CAGR	Implied EV	Implied price
+0%	$5.5B	$39.03	+20%	$10.8B	$69.28	+40%	$19.2B	$118.05
+1%	$5.7B	$40.19	+21%	$11.1B	$71.23	+41%	$19.8B	$121.09
+2%	$5.9B	$41.39	+22%	$11.5B	$73.23	+42%	$20.3B	$124.19
+3%	$6.1B	$42.61	+23%	$11.8B	$75.27	+43%	$20.8B	$127.35
+4%	$6.4B	$43.88	+24%	$12.2B	$77.36	+44%	$21.4B	$130.58
+5%	$6.6B	$45.17	+25%	$12.5B	$79.50	+45%	$22.0B	$133.88
+6%	$6.8B	$46.51	+26%	$12.9B	$81.69	+46%	$22.6B	$137.24
+7%	$7.1B	$47.88	+27%	$13.3B	$83.93	+47%	$23.2B	$140.67
+8%	$7.3B	$49.28	+28%	$13.7B	$86.23	+48%	$23.8B	$144.16
+9%	$7.6B	$50.73	+29%	$14.1B	$88.57	+49%	$24.4B	$147.73
+10%	$7.8B	$52.21	+30%	$14.5B	$90.97	+50%	$25.0B	$151.37
+11%	$8.1B	$53.73	+31%	$15.0B	$93.42	+51%	$25.7B	$155.08
+12%	$8.3B	$55.29	+32%	$15.4B	$95.93	+52%	$26.3B	$158.86
+13%	$8.6B	$56.89	+33%	$15.8B	$98.49	+53%	$27.0B	$162.71
+14%	$8.9B	$58.53	+34%	$16.3B	$101.11	+54%	$27.7B	$166.64
+15%	$9.2B	$60.21	+35%	$16.8B	$103.78	+55%	$28.4B	$170.65
+16%	$9.5B	$61.94	+36%	$17.2B	$106.52	+56%	$29.1B	$174.73
+17%	$9.8B	$63.71	+37%	$17.7B	$109.31	+57%	$29.8B	$178.88
+18%	$10.1B	$65.52	+38%	$18.2B	$112.16	**+58%**	**$30.5B**	**$183.12**
+19%	$10.4B	$67.38	+39%	$18.7B	$115.08			

Balance sheet and share count reconciliation

Enterprise value converts to equity value after net debt, and targets divide by diluted shares.

SCENARIO	ENTERPRISE VALUE	EXIT EV/ FCF	TERMINAL GROWTH	PLUS: NET CASH	EQUITY VALUE	TARGET
Bear	$13.61B	—	3.0%	$1.25B	$14.86B	**$85.64**
Base	$22.58B	—	3.0%	$1.25B	$23.83B	**$137.31**
Bull	$32.80B	—	3.0%	$1.25B	$34.05B	**$196.18**

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Fair value across scenarios

Model fair value by year under each scenario, on the same paths the ticker page chart draws.

SCENARIO	2026	2026	2027	2028	2029	2030
Bear	$85.64	$94.41	$101.16	$107.44	$113.21	$118.62
Base	$137.31	$151.37	$163.60	$174.88	$185.00	$193.93
Bull	$196.18	$216.27	$234.97	$252.68	$268.37	$281.74

Methodology note. The discount rate is the live U.S. 10-year Treasury yield plus beta times equity risk premium. Terminal growth reflects long-run nominal GDP. The $139.11 headline target applies 25% / 50% / 25% Bear / Base / Bull weights.

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The franchise deep dive

Q3 revenue guide $540-560M, up ~139% YoY and 34% above consensus

PCIe 6 / CXL retimers and Aries 7 design wins ramping at hyperscalers

Orion launch moves Astera from components into rack-scale AI fabric

Revenue and margin trend

METRIC	Q2 '25	Q3 '25	Q4 '25	Q1 '26	Q2 '26
Revenue	$191.9M	$230.6M	$270.6M	$308.4M	$392.4M
Gross Margin	75.8%	76.2%	75.6%	76.3%	73.3%
Net Margin	26.7%	39.5%	16.6%	26.0%	39.0%

Valuation cross-check

Fwd P/E (NTM) 44.6x

DCF Base $137.31 vs $284.80 spot = -52% downside

Implied 5-yr revenue CAGR 78.3% vs bull case 63.6%

The honest math says the market prices near-flawless 78% compounding for five years, above our bull case. Absolute valuation is poor at this price.

MRVL 31x fwd P/E

AI semi peers 25-45x

ALAB at 44.6x forward earnings trades at the top of even high-growth AI networking peers. The 0.21 PEG only works if extreme growth forecasts hold.

52-wk range $97.89-499.48

Current $284.80 in the middle of that range

Multiples remain near peak-of-cycle levels relative to earnings, with the stock pricing in the bull case and then some.

What to monitor

Nov 3, 2026. Q3 FY26 Earnings (Positive): Guide raised to $540-560M revenue (+139% YoY) vs $410M consensus. The stock must prove the ramp.

Oct 2026. Orion Rack-Scale Architecture (Positive): Compute-agnostic inference fabric expands TAM beyond retimers into rack-scale AI networking.

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Ongoing. Insider Selling (Two-Sided): 408,558 shares (~$127M) sold by insiders last quarter; heavy at a 140x trailing multiple.

Financial summary: income statement

YEAR	REVENUE	GROSS PROFIT	OPERATING INCOME	EBITDA
2022	$80M	$59M	$-60M	$-59M
2023	$116M	$80M	$-29M	$-28M
2024	$396M	$303M	$-116M	$-113M
2025	$853M	$645M	$173M	$180M

Balance sheet

YEAR	TOTAL ASSETS	TOTAL LIABILITIES	TOTAL EQUITY	CASH
2022	$212M	$297M	$-85M	$76M
2023	$196M	$294M	$-98M	$45M
2024	$1.1B	$90M	$965M	$80M
2025	$1.5B	$168M	$1.4B	$168M

Cash flow

YEAR	OPERATING CF	CAPEX	FINANCING CF	FREE CF
2022	$-36M	$-4M	$152M	$-40M
2023	$-13M	$-3M	$-502,000.00	$-15M
2024	$137M	$-34M	$656M	$102M
2025	$319M	$-38M	$10M	$282M

Methodology note. The discount rate is the live U.S. 10-year Treasury yield plus beta times equity risk premium. Terminal growth reflects long-run nominal GDP. The $139.11 headline target applies 25% / 50% / 25% Bear / Base / Bull weights.

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Agency risk score 75 of 100: founder-mode alignment, high conviction

The score follows the website's Executive Alignment & Agency Risk model: insider ownership up to 40 points, open-market Form 4 flow over the trailing six months up to 30, and pay-for-performance up to 30. Insiders hold 10.32% of shares outstanding. Form 4 filings over the trailing six months show $0 of open-market purchases against $565.73M of sales, a net flow of -$565.73M. One-year total shareholder return is +83.9% against CEO total pay of $2.22M (Mr. Jitendra Mohan), which the model scores as PERFORMANCE EARNED.

75
AGENCY RISK SCORE, OF 100

The three components

COMPONENT	SCORE	WHAT THE SITE SHOWS
Insider Ownership (Skin in the Game)	35 / 40	10.32% of shares held by insiders
Form 4 Flow (Conviction Flow)	14 / 30	Buys $0 (0) vs sales $565.73M (24), net -$565.73M, trailing six months
Pay-for-Performance	26 / 30	PERFORMANCE EARNED: Stock Outperformance Matches Comp Structure. 1Y TSR +83.9%; Mr. Jitendra Mohan, Co-Founder, CEO & Executive Director, total pay $2.22M
Agency Risk Score	**75 / 100**	Regime: FOUNDER-MODE // HIGH CONVICTION

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Recent Form 4 filings

DATE	FILER	RELATION	TYPE	SHARES	VALUE
2026-09-02	Dyckerhoff Stefan A	Director	SELL	12,499	$3.44M
2026-09-01	Alba Manuel	Director	SELL	183,000	$51.26M
2026-08-17	Mohan Jitendra	Chief Executive Officer	SELL	90,630	$30.85M
2026-08-17	Gajendra Sanjay	President	SELL	90,630	$30.85M
2026-08-17	Mazzara Philip	General Counsel	SELL	6,801	$2.32M
2026-08-06	Dyckerhoff Stefan A	Director	SELL	12,499	$3.90M
2026-07-01	Dyckerhoff Stefan A	Director	SELL	12,499	$5.62M
2026-07-01	Alba Manuel	Director	SELL	136,974	$60.54M

SEC proxy audit, DEF 14A filed 2026-04-23

Alignment grade C. COMPENSATION DATA OMITTED IN EXCERPT. Jitendra Mohan, fiscal 2025 vs fiscal 2024; total compensation change year on year: N/A.

BASE SALARY	STOCK AWARDS	NON-EQUITY INCENTIVE	OTHER COMPENSATION
N/A	N/A	N/A	N/A

The provided filing excerpt omits the CD&A and Summary Compensation Table, precluding quantification of CEO compensation figures or year-over-year adjustments. The proxy text establishes that Jitendra Mohan serves as Co-Founder and CEO, supported by a classified board with an independent compensation committee chaired by Michael Hurlston. Further compensation alignment and performance metric evaluation require the full Item 402 tabular disclosure.

Proxy audit source: SEC EDGAR DEF 14A, audited 2026-10-18 by the weekly proxy pipeline. Filing: https://www.sec.gov/Archives/edgar/data/1736297/000114036126016359/ny20065212x1_def14a.htm

Methodology. This module reuses the website's Executive Alignment & Agency Risk model unchanged. Scores of 75 and above band as founder-mode, high conviction; 45 to 74 as balanced, typical corporate; below 45 as high agency risk. Inputs are the same feeds behind the site model (Yahoo Finance insider holdings, Form 4 transactions and executive compensation) plus the SEC DEF 14A CD&A audit from the weekly proxy pipeline. Computed 21 October 2026 for this note.

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The bear case

Priced for Perfection

At $284.80, the market implies a 78% 5-year revenue CAGR, above our 63.6% bull case and verdict euphoric. Any guide miss would re-rate the multiple hard.

Customer Concentration

A handful of hyperscalers drive AI revenue; loss of a design at any major platform would be material to the growth trajectory.

Insider Selling

Insiders sold 408,558 shares (~$127M) last quarter, including a 77% position cut by a director. Not inherently bearish, but heavy at this multiple.

The strengths

Operating Quality

Fabless model with ~75% gross margins, zero debt and 39% net margins. The moat is PCIe/CXL protocol IP and multi-year qualification cycles at hyperscalers. Capped by customer concentration and a short public track record.

Recent Trend

Revenue went $396M to $853M to $1.2B TTM. Q2 grew 104.5% YoY with EPS of $0.80 beating consensus by $0.11. Net margins expanded from 26.7% to 39.0% YoY. Textbook acceleration.

Forward Growth

Q3 guide of $540-560M is 34% above consensus and implies ~139% YoY growth. Consensus sees FY2026 revenue of $1.89B (+122%). Orion and Aries 7 expand TAM into rack-scale fabric. Guidance-confirmed, not hoped.

Valuation

DCF base $137.31 implies 52% downside from $284.80; even the $196.18 bull case sits 31% below spot. Reverse DCF says the market prices a 78% 5-year CAGR, above our 63.6% bull case, verdict euphoric. Forward P/E of 44.6x is a premium even to

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Cascadia scorecard

Composite score 69: Attractive. Confidence High, as of 17-Oct-2026.

PILLAR	RATIONALE	SCORE
Operating Quality	Fabless model with ~75% gross margins, zero debt and 39% net margins. The moat is PCIe/CXL protocol IP and multi-year qualification cycles at hyperscalers. Capped by customer concentration and a short public track record.	80
Recent Trend	Revenue went $396M to $853M to $1.2B TTM. Q2 grew 104.5% YoY with EPS of $0.80 beating consensus by $0.11. Net margins expanded from 26.7% to 39.0% YoY. Textbook acceleration.	92
Forward Growth	Q3 guide of $540-560M is 34% above consensus and implies ~139% YoY growth. Consensus sees FY2026 revenue of $1.89B (+122%). Orion and Aries 7 expand TAM into rack-scale fabric. Guidance-confirmed, not hoped.	90
Valuation	DCF base $137.31 implies 52% downside from $284.80; even the $196.18 bull case sits 31% below spot. Reverse DCF says the market prices a 78% 5-year CAGR, above our 63.6% bull case, verdict euphoric. Forward P/E of 44.6x is a premium even to high-growth AI peers.	36
Catalysts & Risk	Q3 on Nov 3 is the proving ground for the $540-560M guide; analyst targets average $348 (+22%). But an October downgrade, $127M of insider selling, and a 3.69 beta mean good news is priced in and bad news re-rates hard. Negative skew.	52

Investment view

A Q3 beat-and-raise that validates the $540-560M guide could push the stock toward the $348 consensus target; a miss at this multiple would cut Forward Growth and Trend sharply and validate the euphoric reverse-DCF read.

Investment view: Hold, Valuation Concerns. The $139.11 blended target implies -51%, balancing the $85.64 / $137.31 / $196.18 Bear / Base / Bull outcomes.

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